SECTION 301 INVESTIGATION ON FORCED LABOR

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Office of the U.S. Trade Representative
600 17th Street NW
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Re: Request for Comments on the Section 301 Investigation of Acts, Policies, and Practices of Various Economies Related to the Failure to Impose and Effectively Enforce a Prohibition on the Importation of Goods Produced with Forced Labor (Docket number USTR–2026–0133)

The National Cotton Council (NCC), the central trade association of the U.S. cotton industry, appreciates the opportunity to submit comments relating to the failure of other countries to enforce a prohibition on the importation of goods produced with forced labor.

NCC members include cotton farmers, ginners, cottonseed processors and merchandisers, merchants, marketing cooperatives, warehousers, and textile manufacturers. U.S. cotton farmers cultivate between 10 and 14 million acres of cotton with production averaging 12 to 20 million 480-lb bales annually. Approximately 14,000 cotton family farms produce the critical raw material that supports a domestic textile industry which employs over 471,000 people. Annual cotton production is valued at more than $5.5 billion at the farm gate, with total economic activity generated by the U.S. cotton industry of almost $75 billion.

The U.S. cotton industry operates in highly integrated and competitive global fiber and textile/apparel markets. Approximately 85% of U.S. cotton production is exported as raw cotton fiber, and much of the remaining 15% is exported as textile products in the form of yarn, thread, and fabric. Thus, nearly 100% of U.S. production is ultimately exported in some form.

We commend the Trump administration for recognizing the importance of eliminating goods made with forced labor from international supply chains and for seeking robust implementation by our trading partners of measures to prohibit importation of such goods in their own markets.

Forced labor, in all its forms, poses serious human rights concerns that warrant a sustained, coordinated effort by the international community. It also poses serious threats to the competitiveness and economic health of U.S. exporters and businesses, just as it poses the same threats to our trading partners and customers in foreign markets.

These competitive risks for U.S. exporters are exacerbated by inconsistent levels of regulation in key importing markets. This lack of regulatory alignment is a key obstacle for policymakers.

Sustained international coordination to improve regulatory alignment is needed. The deployment of tariffs or other remedial measures that result from this investigation should be judiciously calibrated to mitigate the specific laws, acts or policies that are identified by USTR, with an eye to minimizing retaliatory harm to U.S. exports of cotton and cotton textile products. These potential harms include the indirect negative impacts on U.S. imports of finished textile and apparel that are ordinarily made from U.S. cotton and cotton textile inputs – since, well-intended measures designed to exclude forced-labor made products from U.S. supply chains can have the unintended effect of dampening demand for the vast majority of legitimate textile and apparel products made from U.S. cotton and textile inputs. Moreover, the measures USTR eventually pursues should be paired with the longer-term objective of signing new trade agreements that secure greater market for U.S. exports, including through enforceable, enumerated purchase commitments for agricultural commodities, including cotton and cotton textile products.

An example of the harm that can come to U.S. exporters is the loss of market access in China, following the imposition of retaliatory tariffs last year, which rose from 15% in March 2025 to 140% in April 2025, as trade tensions with the United States spiked. Even the current 10% retaliatory tariff is proving to be very detrimental to U.S. cotton exports to China since imports from competing countries such as Brazil and Australia do not face a similar tariff.

Since April 2025, U.S. cotton exports to China are down by approximately 90% from the previous 5-year average. This has created acute harm to the health of the U.S. cotton industry given that China is the world's largest consumer of raw cotton and is historically one of the largest markets for U.S. cotton exports. As U.S. cotton sales to China fell, exports from Brazil and other countries filled the gap, abruptly forcing U.S. exporters to find alternative markets. In turn, Brazil has supplanted the U.S. as the world's largest exporter of raw cotton. This experience illustrates how well-intended but broadsided tariffs against a major trading partner can spark retaliatory actions that are counterproductive to the U.S. objective of rebalancing U.S. exports. For the present investigation, NCC urges USTR to consider remedial measures that help resolve underlying concerns related to forced labor without undermining the competitiveness of U.S. exports.

NCC members are deeply grateful for USTR's persistent efforts to open new markets for U.S. exports and support the long-term competitiveness of U.S. cotton producers. New trade deals negotiated since January 2025 offer the promise of greater market access for U.S. exports. Most particularly, trade agreements concluded earlier this year with Bangladesh and Indonesia include specific, enforceable commitments to purchase U.S. cotton. NCC strongly urges that new U.S. trade agreements include similar commitments to purchase U.S. cotton and cotton textile products.

In this way, the United States can more effectively satisfy its trade objectives – expanding U.S. export competitiveness and eliminating goods made from forced labor from global supply chains – while minimizing counterproductive harm to the U.S. economy. To the extent that the remedial measures USTR pursues as a result of this investigation are designed, at least in part, to prompt our trading partners to enter into good faith negotiations toward new trade agreements, the NCC offers its wholehearted support.

There are other risks to U.S. cotton exports, beyond retaliatory tariffs, chiefly the risk of inadvertently discouraging consumption of U.S. cotton inputs in favor of foreign synthetic fibers, especially polyester, which is largely manufactured in China. Foreign synthetic fibers already present a major competitive challenge in global textile markets against cotton and other natural fibers.

Perhaps ironically and bringing synthetic fiber competition into the context of forced labor, the Uyghur Forced Labor Prevention Act (UFLPA) further complicated the export picture for U.S. cotton. This landmark law, which has advanced the effort to stamp out forced labor in the Xinjiang Uyghur Autonomous Region (XUAR) of China, identifies cotton as a high priority sector for enforcement. Unfortunately, when considering the risks, penalties, and complexities associated with importing products made of cotton, many apparel companies have opted to use synthetic fiber instead, creating an unintended consequence and acute harm to the U.S. cotton industry. It is crucial that any remedial measures pursued by USTR as a result of this investigation do not inadvertently strengthen demand for foreign synthetic fibers at the expense of U.S. cotton and cotton textile products. To mitigate this risk, USTR should consider subjecting finished goods made of synthetic fiber to the same regulatory scrutiny and requirements that are imposed on products made of cotton.

The NCC also strongly urges USTR to exempt textile and apparel products imported from countries with which the United States has implemented a traditional free trade agreement, such as CAFTA-DR and USMCA, and from countries to which the United States offers unilateral preference program benefits (other than the Generalized System of Preferences). These countries are generally large importers of U.S. cotton, and their textile and apparel manufacturing sectors are generally well integrated with the U.S. raw cotton and textile supply chains. Further, because their supply chains are closely integrated with U.S. supply chains, including the use of U.S. raw cotton and U.S.-manufactured textiles as key inputs, there is far greater assurance that the finished apparel products eventually imported back to the U.S. market are indeed free of any cotton inputs produced with forced labor.

Recognizing the importance of these integrated supply chains for U.S. producers, USTR provided similar market access benefits last year as tariffs were imposed on key U.S. trading partners under the International Emergency Economic Powers Act (IEEPA). In addition, textile products compliant with CAFTA-DR rules of origin are exempt from the additional duties imposed under Section 122 of the Trade Act of 1974. A similar approach should be taken with any Section 301 tariffs that the President may ultimately decide to impose following these investigations.

The alternative approach – of raising regulatory barriers to textile and apparel products from these countries – would ultimately lead to a decline in U.S. exports of cotton, cotton yarn and cotton fabric and lower net income for U.S. cotton and textile producers.

Finally, it is worth noting that Congress is considering legislation, specifically the Buying American Cotton Act (BACA), which would provide a tax credit for the sale of products made with U.S. origin cotton inputs. To be eligible, the seller must be able to demonstrate that the cotton inputs are U.S. origin through traceability mapping. If enacted, this bill would notably improve the competitive position of U.S. cotton and textile producers. It would also establish, with complete certainty, that the eligible cotton products were made without any forced labor. This certainty would align with the goals of this investigation. Moreover, BACA's competitive benefits for U.S. producers would closely align with the Trump administration's broader trade objectives.

As USTR considers measures that would be most appropriate in response to its findings in this investigation, the NCC urges the completion of new trade agreements that offer specific and enforceable purchase commitments in key import markets such as Bangladesh and Indonesia. We also urge USTR to seek binding outcomes from its upcoming discussions with China that lead to the removal of the 10% retaliatory tariff and establish purchase commitments similar to those included the 2020 Phase One Agreement.

Thank you again for the opportunity to submit these comments. NCC stands ready to assist USTR as it pursues this important investigation.